INTRODUCTION

The sense in which we today use the term banking has its origin in the western world to which India was introduced by the British rulers, way back in the 17th century. Since then, enough water has flown and today Indian banks are considered among the best banks in the developing world and its attempts to emerge among the best in the world is going on as the *Union Budget 2007-08* said.

BANK & NON-BANK INSTITUTIONS

A financial institution which accepts different forms of deposits and lends them to the prospective borrowers as well as allows the depositors to withdraw their money from the accounts by cheque is a ***bank***.

If the financial institution has all the same functions but does not allow depositors to issue cheque and withdraw their money from deposits then it is a ***non-bank institution.***

NON-BANKING FINANCIAL COMPANIES (NBFCS)

A non-banking financial company (NBFC) is a company[1] registered under the Companies Act, 1956 and is engaged in the business of loans and advances, acquisition of shares/stock/bonds/debentures/securities issued by government or local authority or other securities of like marketable nature, leasing, hire-purchase, insurance business, chit business, but ***does not include*** any institution whose principal business is that of agriculture activity, industrial activity, sale/purchase/construction of immovable property.

A non-banking institution which is a company and which has its principal business of receiving *deposits* under any scheme or arrangement or any other manner, or lending in any manner is also a non-banking financial company (residuary non-banking company i.e. RNBC).